

Document Assessment: What Remains Relevant in docs/

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2026-09-14

Version 2 (September 2026) Version 1 (September 2026)

This document evaluates every planning document in `docs/` in chronological order and records, for each, whether anything in it remains relevant for the remaining work process. The governing documents outside `docs/` (`ROADMAP.md`, `roadmaps/vertdict.md`) are included as anchors because several `docs/` files reference them as their arbiter.

The document now opens with the two foundation sections whose decisions gate everything else – the labour-market closure (Foundation I) and the financing closure (Foundation II) – followed by the chronological workplan. **All of this is part of the Version 2 reworking; the option tables in the foundation sections carry, per row, formulation, status, referee point, cost, and recommended role, plus the provenance tags (reviewer, old docs, Baqaee–Farhi usage).**

1 Foundation I: Labour-Market Closure [added v2]

The referee demand (R2) is an explicit labour-supply elasticity; the code currently implements a geometric reallocation parameter and two wage regimes. The nine option tables below consolidate the full design space. Provenance tags: "reviewer" attributes R1/R2; "old docs" names documents (archived under `docs/archive/`, plus the governing `ROADMAP.md` and `roadmaps/vertdict.md`); "used by BF" points to the Baqaee–Farhi papers (both source-verified in `bf_replication/` and `bf_replication2/`):

- BF 2019 (Econometrica): `Dokumente/Baqaee-2019-The Macroeconomic Impact of Microeconomic Shocks-Beyond Hulten's Theorem-Econometrica.pdf`
- BF 2022 (AER): `Dokumente/Baqaee-2022-Supply and Demand in Disaggregated Keynesian Economies with an Application to the COVID-19 Crisis-American Economic Review_4.pdf`

Geometric reallocation parameter (current η)	<i>Endogenous sectoral allocation between immobile and cost-minimizing, total labour fixed</i>
Formulation	$L_i = L_{i,\text{fixed}}^{1-\eta} L_{i,\text{costmin}}^\eta$ with $\eta \in [0, 1]$ (extrapolation outside); total employment fixed at $\bar{L}$; not a labour-supply elasticity
Status	Implemented and tested (<code>MobileLaborCES</code> , <code>:mobile</code>); Sobol first-order share about 15.7%
Referee point addressed	The mobility margin only; total supply stays fixed
Cost	None
Recommended role	Keep as sub-analysis under an honest name ("reallocation parameter")
Mentioned by reviewer	both (R1.6 mobility/wage-rule question; R2.5 immobile-labour criticism – indirectly)
Mentioned in old docs	<code>labor_closures.md</code> ; <code>definitive_guide.md</code> ; <code>WORKPLAN3.md</code> (2026-09-03 addendum)

Geometric reallocation parameter (current η)	<i>Endogenous sectoral allocation between immobile and cost-minimizing, total labour fixed</i>
Used by BF	Yes at its endpoints – the original BF 2019 replication ships both variants: immobile labour (“no reallocation”; sector-specific wage vector, <code>Simulation_Derivs.m</code>) and mobile labour (“full reallocation”; single wage pinned at the numeraire, <code>Simulation_Derivs_realloc.m</code> ; <code>Read_Me.txt</code> : “the first replicates results with immobile labor and the second replicates results with mobile labor”). The geometric interpolation parameter <i>between</i> the endpoints is project-specific
Closure A: Full-employment mobile labour	<i>The standard full-employment CGE endpoint</i>
Formulation	$\sum_i L_i = \bar{L}$; one economy-wide wage; cost-minimizing allocation; the $\eta = 1$ limit of the reallocation parameter (as :mobile)
Status	Implemented (:mobile); baseline endpoint of the wage-regime sweep
Referee point addressed	R2.5 (economy-wide mobile labour); R1.6 (unified wage rule enabling mobility)
Cost	None
Recommended role	Baseline endpoint of the closure continuum
Mentioned by reviewer	both (R2.5 explicitly recommends it; R1.6 asks for it)
Mentioned in old docs	REVISED_SALVAGE_PLAN.md; WORKPLAN.md; WORKPLAN2.md; verdict.md; definitive_guide.md
Used by BF	Yes – BF 2019 baseline: competitive core with inelastically supplied (fixed) composite-factor endowment and uniform factor prices (see filename above)
Closure B: Elastic total labour supply (the referee’s elasticity)	<i>Voluntary labour-supply response along the real wage; the continuum from vertical to horizontal supply</i>
Formulation	$L^s = \bar{L} [(w/P)/(w_0/P_0)]^{\eta_s}$ with a labour-leisure interpretation; $\eta_s = 0$ fixed supply; $\eta_s \rightarrow \infty$ approaches the fixed-real-wage limit
Status	Not implemented; specified in ROADMAP sections 4.2 and 5 (Closure B)
Referee point addressed	R2’s core demand (“the one obvious set of elasticities that really matters”)
Cost	Moderate: extends the $2N+1$ system by the supply equation and its anchor
Recommended role	Principal addition (recommendation)
Mentioned by reviewer	both (R2 explicitly and centrally; R1 implicitly via the slack-scenario discussion)
Mentioned in old docs	REVISED_SALVAGE_PLAN.md (original elastic_labor_slack proposal); WORKPLAN.md; WORKPLAN2.md; PRELIMINARY-ASSESSMENT.md (baseline-anchoring correction); verdict.md (ElasticLaborSupply); ROADMAP.md
Used by BF	No (2019: inelastic endowments; 2022: sticky wages – verdict names the 2019 base as the right foundation for adding it)

Standard partial-mobility formulation (3N system)	<i>Structural alternative: sectoral wages with wage-responsive sectoral supply</i>
Formulation	$L_i^s = \bar{L} s_i^0 (w_i/\bar{w}_i)^\nu / \sum_j s_j^0 (w_j/\bar{w}_j)^\nu$; sectoral labour demand from Shephard's lemma; N zero-profit + $(N-1)$ market-clearing + N sectoral labour-market + one numeraire = $3N$ equations
Status	Open design proposal in labor_closures.md; not implemented
Referee point addressed	None directly; referee-adjacent (R1.6, R2.5)
Cost	Largest: a new equilibrium system
Recommended role	Fallback if the one-wage supply formulation of Closure B is judged too reduced-form
Mentioned by reviewer	no
Mentioned in old docs	labor_closures.md (the proposal, with references: Hsieh–Klenow 2009; Baqaee–Farhi 2020 QJE; Artuc–Chaudhuri–McLaren 2010)
Used by BF	No (closest analogue: BF 2022's N sector-specific labour markets, but those are sticky, not supply-responsive)
Sticky wage, uncapped (current :fixed)	<i>Fixed real wage; employment absorbs the shock – the extensive margin</i>
Formulation	$w/P = \bar{\omega}$ (wage pinned at baseline); employment endogenous and uncapped; the gap $\bar{L} - \sum_i L_i$ is computed post-solve, not an equilibrium constraint
Status	Implemented; large positive GDP responses (+19.3 pp at mult 10, employment to 1.19x), residuals at most 1.9×10^{-7}
Referee point addressed	R1.5 (wage-setting rule: fixed real/nominal wage); R2's "fix the wage rate at baseline and drop the labour supply constraint" recipe
Cost	None
Recommended role	Report as-is, with the uncapped-employment caveat stated
Mentioned by reviewer	both (R2 gives the recipe explicitly; R1.5 demands the wage-setting rule)
Mentioned in old docs	WORKPLAN3.md (Milestone F + 2026-09-03 addendum); definitive_guide.md (Result 3); labor_closures.md
Used by BF	Yes (adapted) – BF 2022's sticky-wage mechanism (downward wage rigidity, demand-determined employment) in simplified one-wage form (see filename above)
Closure C: Unemployment complementarity (capped)	<i>Employment capped at $\bar{L}$; full-employment or wage-floor regime switches endogenously</i>
Formulation	$0 \leq \bar{L} - L \perp w/P - \bar{\omega} \geq 0$: complementarity between the employment gap and the real-wage gap
Status	Not implemented (ROADMAP section 5, Closure C; definitive guide Part IV records "partially")
Referee point addressed	R1.5 (wage-setting rule, wage curve, involuntary unemployment); R2 (DDR/Robinson unemployment closures; skill-class split)
Cost	Larger: complementarity solver, new results

Closure C: Unemployment complementarity (capped)	<i>Employment capped at $\bar{L}$; full-employment or wage-floor regime switches endogenously</i>
Recommended role	Optional; mandatory only if the paper claims policy evaluation (ROADMAP Phase 6)
Mentioned by reviewer	both (R1.5 wage curve; R2's closure-literature demands)
Mentioned in old docs	verdict.md (UnemploymentComplementarity); ROADMAP.md; definitive_guide.md (Part IV status)
Used by BF	Yes (adapted) – BF 2022's complementarity machinery for binding wage floors / labour capacity, to be stripped down; its N -sector sticky-labour structure must not be copied unchanged (verdict; see filename above)
Closure D: IO endpoint	<i>Fixed real factor price, unconstrained factor quantity; the exact conditions under which the CGE reproduces the IO multiplier</i>
Formulation	Fixed real primary-factor price; unconstrained factor quantity within the experiment; Leontief input coefficients (or a demonstrated CES special case with unchanged relative prices)
Status	Not implemented as an explicit closure; :fixed approximates its spirit
Referee point addressed	R2 explicitly (Robinson 2006: fix primary input prices, unconstrained supplies – the multiplier model); R1 explicitly (McGregor–Swales–Yin long-run zero-price-change IO-type result)
Cost	Small–moderate
Recommended role	Required: R2's entire critique turns on the exact conditions of equivalence
Mentioned by reviewer	both (R2 with the Robinson 2006 quote; R1 with McGregor et al. 1996)
Mentioned in old docs	verdict.md (FixedRealWage endpoint); ROADMAP.md (Closure D); definitive_guide.md (Part IV); REVISED_SALVAGE_PLAN.md (the superseded $\eta \rightarrow \infty$ endpoint idea)
Used by BF	No (origin is the IO tradition and Robinson 2006, not the BF papers; BF 2019 computes efficient reallocations, not fixed-price multipliers)
Legacy exogenous labour-slack callback	<i>The original paper's mechanism: exogenous sectoral slack vectors</i>
Formulation	Exogenous labor_slack functions (full_labor_slack, full_labor_slack_alt, empirical_labor_slack) in the base CES model; sector-specific slack vectors
Status	Implemented (legacy); the base of the original submission's Sections 5.1–5.2
Referee point addressed	Itself the criticised mechanism
Cost	None
Recommended role	Retire to benchmark only
Mentioned by reviewer	both (as the criticised object: R2 “deus ex machina”; R1 “unsure about the rationale behind this scenario”)
Mentioned in old docs	REVISED_SALVAGE_PLAN.md (inventory); WORKPLAN.md; WORKPLAN2.md; labor_closures.md; definitive_guide.md
Used by BF	No

Exogenous labour-endowment shift (labour-slack injection)	<i>Exogenous sectoral labour-supply changes, independent of wages</i>
Formulation	Sectoral labour endowments shifted exogenously: $\bar{L}_i \rightarrow \bar{L}_i(1 + g_i)$ with calibrated or assumed g_i ; no wage response required
Status	Implemented (the legacy callback is exactly this mechanism); the original submission's Sections 5.1–5.2; ROADMAP section 4.4 lists it as a distinct closure concept
Referee point addressed	R1.5 describes precisely this mechanism (“is it simply a matter of increasing labour supply by the number of unemployed persons?”); R2 criticizes its use as the central bridge
Cost	None
Recommended role	Keep available as a named, honestly-labelled scenario closure (shock design); not as the paper's central mechanism
Mentioned by reviewer	both (R1 describes the mechanism; R2 criticizes its use as deus ex machina)
Mentioned in old docs	REVISED_SALVAGE_PLAN.md; WORKPLAN.md; WORKPLAN2.md; labor_closures.md; definitive_guide.md
Used by BF	Yes – BF 2022 calibrates exogenous sectoral labour-supply shifts to BLS May-2020 sectoral hours (in the COVID application they are contractions : lockdowns and social distancing “reduced the supply of labor”; bf_replication2/src/model.jl applies them as A_shock on the labour block). Run in reverse, the same closure is an endowment expansion – the slack injection. BF 2019 shocks factor endowments in its general framework

Lineage note (original manuscript). The resonance is direct, not analogical. The original submission's Section 5 already framed labour slack as exactly this closure: “the introduction of such a labor slack by itself is to be conceived and interpreted as the advent of an exogenous shock ... a spontaneous expansion of the labor force.” Its legitimizing narrative was borrowed from BF 2022's channel: “the context of Corona-related lockdowns that partially required people to abstain from work due to social distancing regulations” (with BF 2022's minimum-wage unemployment explicitly set aside because it “does not relax capacity constraints”). The code implements the manuscript's two variants: `full_labor_slack` and `full_labor_slack_alt` (Leontief-projection-calibrated sectoral vectors; Section 5.1, aggregate employment +1.7%) and `empirical_labor_slack` (the uniform rule $\mathbf{I}_{\text{new}} = (1 - \mu)^{-1} \mathbf{I}$ with μ the ILO unemployment rate of 3.2%; Section 5.2, +3.1%). The referees' treatments map onto these two variants: R1 questions 5.1's rationale (“unsure about the rationale behind this scenario”) and 5.2's missing wage-setting rule; R2's “deus ex machina” targets the injection as the bridge mechanism and the uniform transfer as arbitrary (R2.10). BF 2022 runs the same machinery as calibrated contractions; the original manuscript ran it as calibrated expansions. The revision therefore changes not the closure's existence but its role: from the central bridge mechanism to a named scenario closure, with the bridge carried by endogenous labour supply (Closure B), the wage regime, and an explicit financing closure.

Recommendation (unchanged): add Closure B as the referee-facing principal specification; keep the implemented pair (reallocation parameter, wage regime) as measured sub-analyses; Closure C only if the policy-evaluation framing survives ROADMAP Phase 6; Closure D in either case, because R2's critique turns on the exact equivalence conditions. The sticky-wage row must always be reported with its uncapped-employment caveat.

2 Foundation II: Financial Closures [added v2]

The four admissible experiment types of ROADMAP Phase 2. The current `demand_shock` is an unfinanced add-on and inadmissible by the ROADMAP's own rule until one principal and one robustness variant are chosen; the explicit demand anchor introduced with the financing closure is also expected to resolve the $\eta = 1$ stall (scale indeterminacy) observed from multiplier 0.5 upward. Neither BF paper supplies a fiscal financing closure (verdict); only the compositional-shifter normalization has a BF 2022 analogue.

Budget-neutral preference reallocation	<i>Compositional household demand shift with the budget closed by construction</i>
Budget identity	$\tilde{\beta}_i = \beta_i d_i / \sum_j \beta_j d_j$; $Z(p) = \sum_j \tilde{\beta}_j p_j^{1-\sigma}$; $c_i^h = E^h \tilde{\beta}_i p_i^{-\sigma} / Z(p)$, so $\sum_i p_i c_i^h = E^h$ holds exactly
Economic interpretation	Compositional demand shift; must not be described as an autonomous investment multiplier (verdict warning)
Cost / status	Low: normalization is half-done already (Milestone A normalized household demand)
Recommended role	Robustness / diagnostic benchmark
Mentioned by reviewer	no (neither referee demands it; R1's demand-shock rationale question is adjacent)
Mentioned in old docs	verdict.md (redesign section 1); ROADMAP.md (Phase 2); definitive_guide.md
Used by BF	Yes (analogous treatment) – BF 2022 renormalizes compositional demand shifters so the budget holds exactly (bf_replication2/src/model.jl:442); but as a demand shifter, not a financing device (see filename above)
Tax-financed public investment	<i>Autonomous green investment with an explicit tax counterparty</i>
Budget identity	$\sum_i p_i g_i = T$ with a lump-sum or specified tax rule; separate government/investment vector g_i
Economic interpretation	Autonomous green investment financed by taxation
Cost / status	Medium: new g_i vector plus budget equation; not started
Recommended role	Principal (recommendation)
Mentioned by reviewer	no (the financing gap was identified internally; the referees demand shock transparency only)
Mentioned in old docs	verdict.md; ROADMAP.md (Phase 2); PRELIMINARY-ASSESSMENT.md (financing admissibility); definitive_guide.md (Part V)
Used by BF	No (verdict: neither model supplies the fiscal financing closure)
Expenditure-switching investment	<i>Reallocation within a fixed public budget</i>
Budget identity	$\sum_i p_i g_i = T$ with T raised by cutting other public spending
Economic interpretation	Public budget reallocated across sectors; no new purchasing power
Cost / status	Low-medium
Recommended role	Robustness alternative
Mentioned by reviewer	no
Mentioned in old docs	verdict.md; ROADMAP.md (Phase 2); definitive_guide.md
Used by BF	No
Debt/foreign-financed net expenditure	<i>Demand expansion with an intertemporal or external counterpart</i>
Budget identity	$\sum_i p_i g_i = B + F$ with a defined saving-investment or current-account rule
Economic interpretation	Net new expenditure against borrowing or the external balance

Debt/foreign-financed net expenditure	<i>Demand expansion with an intertemporal or external counterpart</i>
Cost / status	Medium–high: additional institutional balance
Recommended role	Robustness (or headline extension)
Mentioned by reviewer	no
Mentioned in old docs	verdict.md; ROADMAP.md (Phase 2); definitive_guide.md
Used by BF	No

Recommendation (unchanged): tax-financed as principal, preference reallocation as robustness. Tax financing keeps the “investment programme” framing, is the easiest variant for a referee to audit, and the preference-reallocation variant then doubles as the compositional-shift benchmark that separates the two experiment families cleanly.

2.0.1 Coverage check: BF closures outside our lists **[added v2]**

Verified against the two papers (Dokumente/) and the replications. BF 2019 itself uses nothing beyond Closure A: its factor supply is inelastic at the endowment (“the supply of the factor is inelastic”), factors are non-reproducible goods, and the paper explicitly makes “no allowance for amplification of shocks through endogenous labor supply and capital accumulation” – elastic labour supply (Closure B) is named there as a channel they do not use. BF 2022, however, uses four closure elements that our two foundation lists do not cover:

BF 2022 element	Coverage status in our lists
Downward nominal wage rigidity, sector-specific (N sticky labour factors)	Partially covered by Closure C (adapted, stripped down). Two differences: nominal floor vs. our real-wage floor (moot only because the static model has $CPI = 1$; it bites under deflation), and N sector-specific floors vs. one economy-wide floor. The replication implements sticky sectoral labour but not the nominal/deflation side
Credit constraints / hand-to-mouth vs. Ricardian households	Not covered. Demand-side income-distribution closure (who spends the shock); our model has one representative household; ROADMAP leaves it out of scope
Zero lower bound / monetary policy	Not covered. Nominal closure; absent from the local replication (which keeps only nominal GDP accounting) and outside our static real model; relevant only if the paper’s question shifts, per the verdict’s 2019-vs-2022 criterion
Multiple primary factors (capital alongside labour; flexible capital vs. sticky labour in BF 2022)	Not covered by a foundation table. Our model and the 2019 replication are one-factor (value added as composite); ROADMAP section 5 carries it as the “optional extension” (mandatory only for policy-evaluation claims)
Firm capacity constraints (social distancing)	Not covered. BF 2022 models a supply shock as a labour-supply shift or a firm capacity constraint (“firms could be forced to operate at lower capacity ... due to social distancing”) – a rationing element outside our price-based static system
Reallocation frictions (adjustment costs, kappa)	Not covered by a foundation table. BF 2019 Online Appendix 2 (“Stuck Intermediates and Adjustment Costs”, the kappa variants); ours is a static model – labor_closures.md names convex employment-adjustment costs for a dynamic extension

None of these gaps blocks the current plan: the first is exactly the “stripped-down 2022 closure” the verdict prescribes, and the remaining three enter only via the optional extensions already flagged in Stage 0 (scope decisions) and ROADMAP section 5. They are listed here so the response letter can state precisely which BF elements are and are not used. One replication-code nuance to verify before citing the BF 2019 mobile variant as Closure A exactly: in the MATLAB code that variant pins $w = 1$ (numeraire) and solves only the N price equations, so the aggregate labour constraint is implicit rather than imposed; the paper itself states inelastic aggregate factor supplies. The exogenous labour-endowment shift,

though present in both BF papers, is a different closure from the sticky wage: it moves supply without a wage response, whereas :fixed moves the wage floor and lets employment respond.

3 Workplan [added v2]

3.1 Stage 0: Conceptual decisions (now – discussion, no code)

The first steps are conceptual; each decision determines what is implemented and written later. None of them requires running anything. The option tables with full provenance tags live in Foundation I and Foundation II above; the recommendations stated there are the proposed agenda.

Remaining items not covered by the foundation tables:

1. **Disclosure of the internal audit trail.** Decide how much of the rejected-round history (verdict, 88.4% artifact, corrected Sobol) is disclosed in the response letter; see Stage 4.
2. **Scope decisions.** Skill-class disaggregation (R2 stretch goal, ROADMAP optional extension, becomes mandatory only if the one-factor model is presented as policy evaluation); open-economy depth beyond the section 4.1 documented mapping; whether B&F replication (Stream C) stays off the critical path (all surviving plans agree it validates but does not block).

3.2 Stage 1: Model completion (after Stage 0 decisions)

1. **Shared final-demand and institutional-budget core** (verdict redesign §1, ROADMAP Phase 3): household demand $c_i^h = E^h \tilde{\beta}_i p_i^{-\sigma} / Z(p)$ with renormalized weights, government/investment budget $\sum_i p_i g_i = T + B + F$.
2. **Implement the chosen financing closure** plus the explicit demand anchor. This is expected to also fix the $\eta = 1$ stall from multiplier 0.5 upward (scale-indeterminacy guard without an autonomous/investment anchor) and the increasingly negative flexible-wage response pattern (interpretation depends on the financing choice).
3. **Implement the labor-closure decision from Stage 0.1** (rename, or partial-mobility, or Closure B). Keep the three dimensions of `labor_closures.md` separate: legacy callback, reallocation parameter, wage regime.
4. **Cobb-Douglas limit guard** (Milestone C, still open): sign-safe real powers so $\varepsilon \rightarrow 1$ solves without `DomainError`.
5. **Closure D (IO endpoint)** (ROADMAP section 5): fixed real factor price, unconstrained factor quantity, exact or qualified equivalence to the Leontief multiplier; document the equivalence conditions. This is the referee-facing “the bridge exists, and here is exactly when it appears” result.
6. **Full residual validation** (ROADMAP Phase 4): omitted-equation invariance (rotate the omitted commodity market), household-expenditure exhaustion, homogeneity, multi-start convergence, real-GDP index consistency. Machine-precision residuals are the gate.

3.3 Stage 2: Simulation and sensitivity (gates in ROADMAP Phase 5)

1. **Re-run the canonical sweeps under the final specification** (`rerun_results.jl`): wage-regime table and Sobol decomposition must be regenerated after any Stage-1 change; the 2026-09-03 numbers are canonical only for the current code state.
2. **Sectoral Sobol** (definitive guide Part V.3, still pending): does the reallocation parameter matter for sectoral allocation even if not for aggregate GDP? R1 explicitly expects the aggregate-vs-sectoral contrast to be quantified (R1.7). Build it on the `SobolResult` conventions from `milestone_D_plan.md`: first-order and total-order indices, absolute shares, no renormalization, complete designs, no silently dropped cells.
3. **Financing and shock-magnitude robustness** (ROADMAP Phase 5): repeat headline results across the robustness financing closure and reasonable shock sizes; report ranking stability.
4. **Elasticity table** (R1.3, ROADMAP required table): values, ranges, sources, distributions for the chosen parameters, pre-registered in the repository before final results are inspected.

3.4 Stage 3: Manuscript rewrite (ROADMAP section 7; definitive guide Part III)

The surviving structural guidance is: nine-section structure per `definitive_guide.md` Part III, written into the `revised_manuscript/chapters/` scaffold (which still contains only old text). Per-section details carried forward from the archived plans:

1. **Abstract and introduction** from the corrected three-part story (methodological correction; mobility material-but-secondary; wage regime first-order). Retire all commensurability language; state upfront that the IO–CGE bridge is

known (Robinson 2006, Rose 1995); keep one short Kuhnian paragraph at most. The OUTLOOK_SUMMARY.md abstract draft is quantitatively dead (built on the rejected 88.4%) and must not be used even as a stylistic base.

2. **Section 2 (model exposition) fixes:** sign error in eq.~(19) (R2.6); remove the “supply-side vs. demand-side” characterization (R2.7); streamline the IO exposition; clarify the purpose of the Type-I/Type-II multiplier discussion or drop it (R1.4); state static horizon, closure rules, and calibration replication explicitly (R1.2).
3. **Data and accounting section** from accounting_consistency_plan.md: section 4.1 pipeline, import separation, decomposed value added, the documented 5.387% expenditure residual, shock-incidence rule (domestic final demand), and the calibration/summary tables R1 asked for (intermediate shares, VA shares, Domar weights, elasticities).
4. **Results sections** with the corrected numbers only: wage-regime table (pp gaps, not ratios), Sobol shares (θ -led, $\eta \approx 15.7\%$ first-order), aggregate-vs-sectoral contrast; figures with clarified axes, units, and GDP measures (R1.9, R2 last bullet).
5. **Terminology discipline** per labor_closures.md: never conflate the legacy callback, the reallocation parameter, and the wage regime; state the :fixed closure’s economic meaning exactly; drop the “deus ex machina” hand-wringing in favor of the positive result.
6. **Literature integration** (R2.2, R1.8): Robinson (2006) central, plus Rose (1995), Dervis–de Melo–Robinson (1982), de Melo & Tarr (1992), McGregor–Swales–Yin (1996), Shoven & Whalley (1984), Mansur & Whalley (1984), Willenbockel (1994). Remove CES-novelty and Cobb–Douglas-archetype claims (R2.8, R2.9); use the domain-of-applicability framing instead of the Kuhnian cleavage (R2.3).
7. **Minor copy-edits** (R1.9): the p.~5 convoluted sentence, the incomplete p.~16 paragraph, the Figure~3 axis question.
8. **What must not appear** (definitive guide “remove” list): all η -dominance claims, 88.4%/100% figures, “GO” certification language, price-invariance claims, and the claim that the IO multiplier requires $\eta \rightarrow \infty$ (it requires sticky wages).

3.5 Stage 4: Response letter and submission

The archived plans contain a fully formed reviewer response strategy; its notes are folded in here as subitems of the drafting stage.

1. **Reviewer 2 (devastating, recommends rejection):** maximally gracious; concede the core criticism (“the bridge already exists”) fully and without defending the original framing; present the corrected equilibrium and the wage-regime/Sobol results as the genuinely new quantitative contribution; address every specific point (sign error, closed economy, immobile labor, CES novelty, labor allocation); engage the closure literature. Checked against the R2.1–R2.14 map in REVISED_SALVAGE_PLAN.md section 2 (archived).
2. **Reviewer 1 (constructive):** systematic point-by-point against R1.1–R1.9; show the restructured paper, the calibration summary table, the McGregor–Swales–Yin engagement, and the quantified aggregate-vs-sectoral distinction.
3. **Methodological-correction section:** decide (Stage 0.4) how much of the internal audit trail to disclose; if disclosed, PRELIMINARY-ASSESSMENT.md and WORKPLAN3 Milestone~A (archived) supply the technical content, and the supersession-note style of WORKPLAN2 is the disclosure template.
4. **Final gates** (ROADMAP section 11, definition of done): every quantitative claim reproducible from a clean checkout; accounts reconcile; financing closure explicit; all identity tests pass; sensitivity shares conditional on stated distributions; tag the exact submission commit; manuscript, response letter, figures, and code all agree with one version.

3.6 Immediate next step

The proposed agenda for the next conceptual discussion: the Foundation I recommendation (Closure B as referee-facing principal) and the Foundation II recommendation (tax-financed principal, preference reallocation as robustness), plus the two remaining conceptual items in Stage 0.

4 Chronological document map

#	Document	Date	Status in one line
1	REVISED_SALVAGE_PLAN.md	2026-07-29	Foundational strategy; superseded in its results, still the best review-point map
2	WORKPLAN.md	2026-07-29	Superseded; historical record only
3	WORKPLAN2.md	2026-07-29 (upd. later)	Superseded; its “GO / 88.4%” round was formally rejected
4	OUTLOOK_SUMMARY.md	2026-08-02	Superseded; abstract draft is built on invalid numbers
5	PRELIMINARY-ASSESSMENT.md	2026-08-18	The audit that killed the false claims; bug documentation still valuable
6	milestone_D_plan.md	2026-08-19	Executed and complete; historical
7	WORKPLAN3.md	2026-08-18 (addendum 2026-09-03)	Repair record; its 2026-09-03 addendum holds canonical Part I numbers
8	accounting_consistency_plan.md	2026-09-02	Executed and integrated; now reference documentation
9	definitive_guide.md	2026-09-03	Current authoritative narrative ; the manuscript should be written from it
10	labor_closures.md	2026-09-05	Current code semantics; contains an open design question that needs a decision

External anchors:

- ROADMAP.md (2026-08-18/20): the governing plan, validation gates, and definition of done. Not superseded by anything in docs/.
- roadmaps/verdict.md (2026-08-18): the independent audit verdict that rejected the first mobile-labor round. It is the arbiter WORKPLAN2 defers to.
- docs/reviews/metro-rev1.docx and metro-rev2.docx: the referee reports (R1 = constructive major revision; R2 = devastating reject). Extracted text is available at docs/reviews/metro-rev1.txt / metro-rev2.txt if needed.

Note (v2): documents 1–8 of the map now live in docs/archive/; only definitive_guide.md, labor_closures.md, this assessment, and reviews/ remain in docs/ directly.

5 Evaluation, oldest first

5.1 1. REVISED_SALVAGE_PLAN.md (2026-07-29)

The foundational pivot document. It contains three things of unequal value.

Still relevant:

- **Section 2, the review-point map** (R1.1-R1.9, R2.1-R2.14) is the most complete mapping of referee demands to revision actions anywhere in the repository. Every response letter will be checked against it. Keep.
- The strategy insight of section 3.1 (“closure dominance claim”) survives in modified form: acknowledge that the IO-CGE bridge is known (Robinson 2006, Rose 1995) and contribute measurement, not discovery. The corrected model qualifies the finding (see doc 9), but the *strategic posture* – graceful concession to R2 plus a quantitative contribution – is unchanged.

Superseded / must not resurface:

- The claim that “the core infrastructure exists and works” (sections 1.1 and 7) was written before the mobile-labor audit and is wrong for the files it praises (mobile_labor.jl, variance_decomposition.jl at that date).
- The proposed labor-supply function $L = L_{\text{bar}} * (w/w_{\text{bar}})^{\eta}$ (η as labor-supply elasticity, η in $[0, \infty)$) is **not** what was finally implemented. Current code uses η as a geometric intersectoral reallocation parameter with η in $[0, 1]$ (see doc 10). Any sentence in the manuscript drafted from this plan must be re-checked against labor_closures.md.
- The 6-10 week timeline and the phase plan are dead; the corrected critical path is in ROADMAP.md section 10.

Dispositions for remaining work: extract the review-point map into the response-letter skeleton; otherwise treat as archive.

5.2 2. WORKPLAN.md (2026-07-29)

The three-stream coordination document (A: manuscript, B: model extension, C: B&F replication).

Still relevant: only the *topology* – three parallel streams with the go/no-go gate between model work and writing – and the Stream C pointer to `bf_replication/REPLICATION_WORKPLAN.md`. The stream structure is inherited by every later plan, so the file has organizational value as the origin of the scheme.

Superseded: all statuses, all timelines, the priority matrix, and the paths (it references `(1)Submission/revised/`, which now lives at `revised_manuscript/` inside this repo). Its per-task efforts fed WORKPLAN2's false "complete and verified" certification, which `vertdict.md` rejected.

Disposition: archive. Nothing unique except the stream topology.

5.3 3. WORKPLAN2.md (2026-07-29, updated)

The post-pilot workplan. Its headline claims – "complete and verified", GO decision, price invariance, $\eta = 88.4\%$ – were **formally superseded** by the supersession note at the top of the document itself, which cites `roadmaps/vertdict.md`. The document is internally annotated: it now reads as a historical record of the rejected round.

Still relevant:

- The supersession note itself is a model of how the project handles retracted results; it should be cited in the response letter's methodological-correction section if the authors choose to disclose the internal audit trail.
- The Julia environment alignment record (1.12.6, container/host portability) remains operationally true.
- The destructuring-bug fix note (named-tuple destructuring of structs) is a real Julia pitfall worth remembering for future code review.

Superseded: every checkmark/GO/88.4% marker, the "Stream B results are ready, Sections 5-6 can proceed immediately" instruction, and the η -as-labor-supply semantics throughout.

Disposition: archive, clearly marked as the rejected round. Do not use for the manuscript.

5.4 4. OUTLOOK_SUMMARY.md (2026-08-02)

The response strategy essay ("From Searching for Bridges to Measuring the Bridge") plus a draft abstract.

Still relevant:

- The rhetorical frame of the pivot is sound and still governs: retire the commensurability language, concede R2's point, contribute measurement.
- The priority matrix's pending Stream A tasks (introduction, Section 2 rewrite, literature integration, figures, response letter) are an accurate list of what is *still* pending today – Stream A has not advanced since.

Superseded:

- The draft abstract is quantitatively dead: it reports the $\eta = 88.4\%$ and "order of magnitude" claims and the η -as-labor-supply-elasticity reading of `mobile_labor.jl`. It must not be used even as a stylistic base without replacing every number and the η interpretation.
- The claim "Done. The `mobile_labor.jl` module implements $L = L_{\text{bar}} * w^{\eta}$ " describes the since-rejected specification.

Disposition: keep the pivot rhetoric in mind; discard the abstract draft. The abstract will be written anew from `definitive_guide.md` Part III.

5.5 5. PRELIMINARY-ASSESSMENT.md (2026-08-18)

The independent audit that caught the false certification. Verified by execution that: the η -sweep response was inverted ($\eta = 10$ collapsed GDP to 12%), equilibria were initialization-dependent, the variance decomposition renormalized main effects, Cobb-Douglas grid points threw `DomainError`, and the ROADMAP-vs-workplans contradiction existed.

Still relevant – genuinely, not just historically:

- Its bug catalog is the reference description of *why* the old numbers were wrong. If the response letter includes a methodological-correction section (recommended by `definitive_guide.md` Result 1), this document supplies the technical content.

- The verification table mapping `verdict.md` code-line claims to source lines is a completed audit trail.
- Its corrections section (overspend was 4.5% in the 71-sector model, not 25.5%; the decisive fix is baseline-wage anchoring, not nominal-vs-real) prevents repeating two specific misreadings.

Superseded: nothing. It was the superseding document. The deleted `tests/minimal_test/` diagnostics are noted; the organized test suite now covers the same ground.

Disposition: keep as the audit record. Source for the response letter.

5.6 6. milestone_D_plan.md (2026-08-19)

A short task plan for the honest Sobol decomposition. Every step (first-order and total-order indices, absolute shares, CSV output, robust missing-point handling) was implemented and verified (WORKPLAN3 Milestone D plus the 2026-09-03 addendum).

Still relevant: only as the specification-of-record for what `summary_table` and `SobolResult` are supposed to output. If the sectoral Sobol extension (still pending, see doc 9 Part V) is built, this plan is the template.

Disposition: archive; consult before extending the sensitivity code.

5.7 7. WORKPLAN3.md (2026-08-18, addendum 2026-09-03)

The repair workplan (Milestones A-F) with the critical 2026-09-03 re-run addendum. This is where the *current canonical Part I numbers* live.

Still relevant – load-bearing:

- **The 2026-09-03 wage-regime table** (flexible $\eta=0$ turning negative with shock size; sticky `:fixed` positive and large, +19.3 pp at mult 10; $\eta=1$ stalls from mult 0.5): this is Result 3 of the corrected story and the single most important empirical table for the revised paper.
- **The 2026-09-03 Sobol result** ($\theta = 0.395$ dominant, $\sigma = 0.273$, $\epsilon = 0.165$, $\eta = 0.157$ material-not-dominant): this is Result 2 and the numbers the manuscript will report – *not* the 88.4%, *not* the “~2% negligible” reading, both of which are documented artifacts.
- The accounting canon: GDP $P = I = 3,027,818$; $E = 2,864,724$; residual 5.387% documented valuation gap; `sum(lambda) = 2.1099`.
- Milestone A’s list of equilibrium repairs (sector-1 zero-profit restored, normalized household demand, retcode checking, Tornqvist index) is the methodological-correction content again, from the fix side.

Superseded: the historical Milestone D (η around 0.01%) and Milestone F (74-112x ratios) numbers are explicitly superseded by the addendum; the addendum’s own supersession note is unambiguous.

Disposition: keep as the numerical record. The manuscript’s empirical section is built from this file plus `definitive_guide.md`.

5.8 8. accounting_consistency_plan.md (2026-09-02)

The section-4.1 accounting transformation (ROADMAP Phase 1): separate imports, decompose value added, reconcile the three GDP sides, define shock incidence, emit calibration artifacts. Executed, integrated into `src/interface.jl`, and validated by the test suite.

Still relevant:

- It is the reference for the data pipeline: the verified source schema (rows 73-83 of the Destatis table), the proportional import-allocation assumption (stated explicitly), the 5.387% expenditure residual (a genuine raw-table valuation gap, not a bug – after the off-by-one indexing fix), and the field mapping in the integration note.
- The manuscript’s “Data and accounting” section (structure item 3 in both ROADMAP section 7 and definitive guide Part III) will be written almost directly from this document. It answers R2’s “closed-economy miracle” demand with a documented, open-economy-consistent pipeline.
- The calibration-table demand of R1 is answered here (Step 6 artifacts, `output/AC_*.csv`, regenerable).

Superseded: nothing material. The ~0.8% residual figure was corrected in place to 5.387%.

Disposition: keep as the data-pipeline reference.

5.9 9. definitive_guide.md (2026-09-03)

The current authoritative synthesis. It supersedes WORKPLAN/WORKPLAN2, operationalizes the ROADMAP's Phase 6 go/no-go with evidence, and defines the corrected three-part story:

1. **Methodological:** the original model was not an equilibrium; a corrected, verified baseline exists (machine-precision residuals).
2. **Negative but precise:** η (intersectoral mobility) is a material but secondary channel (first-order Sobol share around 0.157, well below $\theta = 0.395$); the mobility bridge is second-order (at most 0.07 pp); $\eta=1$ solves only at multipliers 0.1/0.2.
3. **Positive:** the wage regime (sticky vs flexible) is the first-order labour-market margin (pp gaps +0.32 to +24.75); the question is "is the economy at full employment or in an unemployment regime?", not "how mobile is labour?".

Still relevant – this is the master document:

- Part III's manuscript structure (9 sections), headline abstract results, the "remove/add" lists, and the ROADMAP compliance table.
- Part V's remaining-work list, which is the best available backlog:
 - Sobol on **sectoral** quantities (not yet run);
 - ROADMAP Phase 2 policy experiment (financing closure) – **not started**;
 - Milestone C solver stability at the Cobb-Douglas limit – open;
 - manuscript rewrite – not started;
 - response letter – not started;
 - :fixed with an explicit demand anchor (to show the sticky-wage result is not η -driven) – open.
- Part IV records that Closure D (IO endpoint) and Closure C (unemployment complementarity) are unimplemented.

Superseded: nothing; it internally supersedes the 2026-09-02 re-run numbers with the 2026-09-03 ones.

Disposition: active. All manuscript writing starts here. Its remaining work items should become the working task list.

5.10 10. labor_closures.md (2026-09-05)

The latest document, and the one that defines what the code *actually* does now.

Still relevant – critical for correctness:

- The three-dimension taxonomy: legacy exogenous `labor_slack` callback; geometric η reallocation ($L_{fixed}^{(1-\eta)} * L_{costmin}^{\eta}$, η in $[0,1]$, beyond which is extrapolation); wage regime `:mobile/:fixed`. These must never be conflated in the manuscript – and note that **the current η is NOT the labor-supply elasticity the referees and the salvage plan talked about**. The paper's terminology must be chosen deliberately: either rename the model's parameter (e.g. "reallocation parameter") or implement the standard partial-mobility / elastic-supply formulation and map the referee's η onto it.
- The proposed **standard partial-mobility formulation** (sectoral wages, wage-responsive sectoral supply, 3N system) is an *open design proposal*, not implemented. It is the main unresolved modeling decision: the current geometric- η plus efficiency-penalty design is a project-specific reduced form whose allocative-wedge curvature is not established as the exact CES allocative-loss coefficient. This directly touches R2's demand for labor-supply elasticities ("the one obvious set of elasticities that really matters").
- The warning that `:fixed` is not a capped unemployment model (employment can exceed `labor_bar`; the gap is computed post-solve) – essential for honest interpretation of the +19.3 pp sticky-wage result. The sticky-wage closure is currently a *fixed real wage with unconstrained employment*, i.e. closer to Closure D's spirit than to Closure C. The manuscript must not sell it as a calibrated unemployment closure without saying so.

Disposition: active. The η -semantics decision and the sticky-wage-interpretation caveat feed directly into Sections 4 and 6 of the new manuscript.

6 Synthesis: where the project stands

6.1 Verified and usable today

- A corrected, equilibrium-consistent 71-sector model (Milestones A, B and the 2026-09-03 fixes), with organized tests in `tests/`.
- Section-4.1 accounting-consistent data pipeline integrated in `src/interface.jl`.

- Canonical Part I results: wage-regime table, Sobol decomposition (theta-led, eta material at about 15.7%), accounting reconciliation – all from the 2026-09-03 re-run, regenerable via `julia --project=. rerun_results.jl`.

6.2 Open items (candidates for the working plan)

1. **eta-semantics decision** (doc 10): keep geometric eta with honest renaming, or implement the standard partial-mobility / elastic-supply closure that R2 actually asked for. This blocks the framing of Sections 4-6.
2. **Sticky-wage closure interpretation** (doc 10): `:fixed` = fixed real wage with endogenous employment, not a calibrated unemployment regime; decide whether Closure C (complementarity) is implemented or the limitation is stated.
3. **Financing closure** (ROADMAP Phase 2; definitive guide Part V.5): the demand shock is still unfinanced – an explicit closure is required before CGE results are admissible by the ROADMAP’s own rule. This is the largest *unstarted* modeling item.
4. **Sectoral Sobol** (definitive guide Part V.3): does eta matter for sectoral allocation even if not for aggregate GDP? R1 expects the aggregate/sectoral contrast to be quantified.
5. **Cobb-Douglas limit** (Milestone C): `epsilon = 0.99 DomainError` guard.
6. **eta=1 stall under autonomous demand**: needs the explicit demand/investment anchor or an honest limitation note.
7. **Manuscript rewrite** per definitive guide Part III / ROADMAP section 7 – `revised_manuscript/` chapters still contain only the old text (“% OLD TEXT FROM HERE ON”).
8. **Response letter** (R1 + R2), to be checked against the R1.1-R1.9 / R2.1-R2.14 map in `REVISED_SALVAGE_PLAN.md` section 2.
9. Minor copy-edits from R1 (p.5 sentence, p.16 paragraph, Figure 3 axis).

6.3 Suggested next decision

Item 1 (eta semantics) is the fork: it determines whether the paper says “the reallocation parameter eta is material but secondary” (what the code now supports) or “the labor-supply elasticity continuum behaves as follows” (what R2’s framework expects and what would require the standard partial-mobility implementation from doc 10). Everything downstream – figures, Sobol labeling, abstract – inherits from this choice.

(v2) These decisions are now laid out with full option tables in [Foundation I](#) and [Foundation II](#) at the top of this document; the workplan stages supersede the open-items list here.

6.4 Revision Log [\[added v2\]](#)

- **Version 1** (September 2026) — Initial chronological assessment of `docs/`.
- **Version 2** ([September 2026](#)) — Fixed a LaTeX build error (backticked paths with underscores inside `\texttt{\textcolor{}` spans); added the chronological roadmap chapter (Stages 0–4) with Decision overview I (labour-market closures) and Decision overview II (financing closures) as Stage 0 tables with recommendations, folding in all still-relevant details from documents 1–8; documents 1–8 moved to `docs/archive/` (`definitive_guide.md` and `labor_closures.md` remain active); version history block added; roadmap restructured into Foundation I (labour-market closure) and Foundation II (financial closures) with per-option two-column provenance tables (formulation, status, referee point, cost, recommended role, reviewer, old docs, Baqaee–Farhi usage), followed by the workplan; corrected the geometric reallocation row (“used by BF” – the BF 2019 replication ships both the immobile and the mobile variant, verified in the original MATLAB files); added the exogenous labour-endowment shift as a ninth closure table (BF 2022 BLS labour-supply shifts; the original paper’s slack injection); extended the coverage check with firm capacity constraints and adjustment-cost frictions, plus a to-verify nuance on the BF 2019 mobile variant.; added a lineage note under the exogenous-shift table documenting the direct resonance with the original manuscript’s Section 5 (slack narrative borrowed from BF 2022’s social-distancing channel; code mapping of the three slack implementations to the manuscript’s two variants).